

ates fraud on the part of the trustee, but is also desirable on another account. If the estate purchased be not ear-marked at the time as subject to the trust, serious questions might afterwards arise between the *cestuis que trust* and the representatives of the trustee, who are the persons entitled to the property, viz., whether the estate was purchased with the trust fund or from the trustee's private resources, and the evidence upon this issue might entail infinite expense (a).

[28. **Trustee providing part of purchase-money.**—Where an estate is purchased by trustees, but, the trust funds being insufficient to provide the whole purchase-money, one of the trustees provides the sum necessary to complete the purchase, the trust estate is entitled to a first charge upon the estate for the amount of the trust fund, and subject to such charge the trustee is entitled to be indemnified out of the estate in respect of the sum provided by him, and subject to such indemnity the real estate belongs to the trust (b).]

29. **Whether the settlement should be in the conveyance.**—Where the legal estate is not required to be vested in the trustees, but is to be limited *to the use of the beneficiaries*, the first question is, whether the limitations should be inserted in the conveyance itself, or whether the conveyance should be to the trustees, and a settlement executed subsequently. The answer must depend on the particular circumstances of each case, and whether the vendor will or not offer any objection, though it is conceived that on the purchaser undertaking to pay any extra costs to be thereby occasioned, the vendor could not object.

30. **Whether to be referential.**—Another practical question is, whether the limitations of the settlement to which the new purchase is to be subjected should be set out at length, or be *incorporated by reference*. In either case the trustees must be careful to ascertain the facts, as whether the owners of the successive estates have in any and what way dealt with their respective interests.

31. **Form of referential settlement.**—If it be proposed to

(a) See *Mathias v. Mathias*, 3 Sm. Beav. 507, and see *post*, Chap. xxx. & G. 552; *Price v. Blakenmore*, 6 s. 2.

[(b) *Re Pumfrey*, 22 Ch. D. 255.]